Shriram Finance Ltd

SHRIRAMFIN • N/A

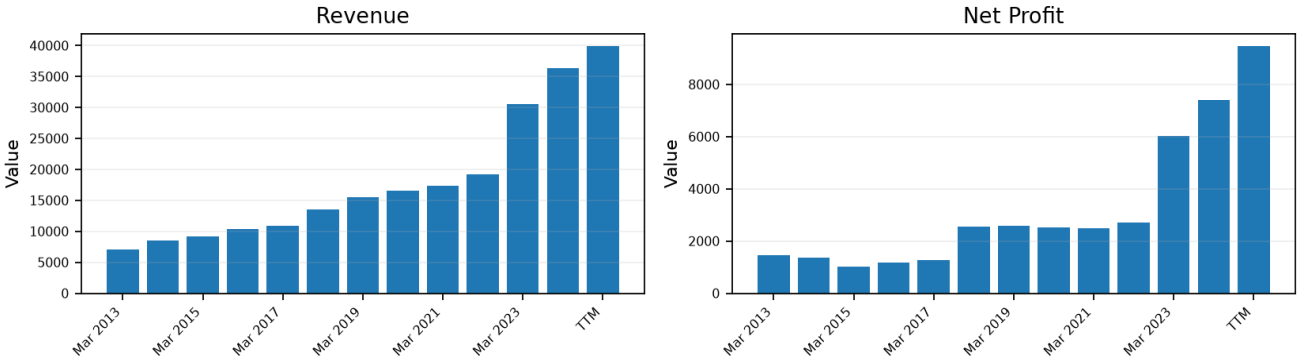
Company	Shriram Finance Ltd
NSE Ticker	SHRIRAMFIN
Sector	N/A
Sub-sector	N/A
About	Business Overview Shriram Transport Finance Company Ltd is a part of the SHRIRAM Group conglomerate which has a significant presence in the financing business. STFC is engaged in t

Key Financial Indicators

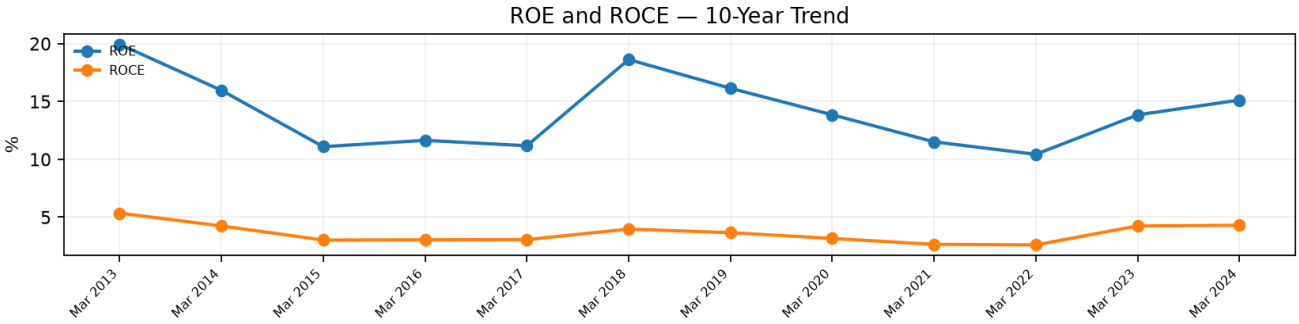
ROE	ROCE	Net Profit Margin
15.12%	4.30%	20.33%

D/E	Revenue CAGR 5Y	FCF
3.99	19.21%	-31,359.00

Revenue and Net Profit — 10-Year Trend



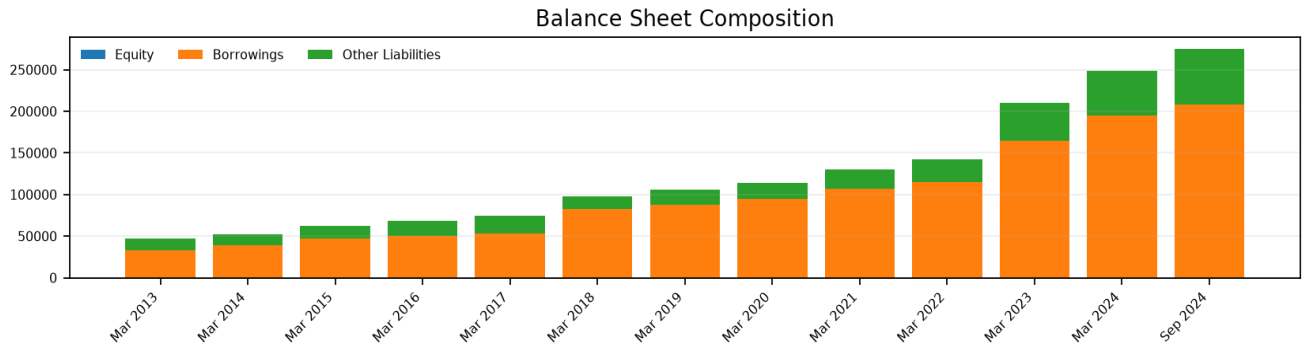
Return Efficiency Trend



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Balance Sheet Composition



Latest-Year Cash Flow

Latest Year: Mar 2024

CFO	CFI	CFF	Net Cash Flow
-31,101.00	-258.00	27,609.00	-3,750.00

PROS

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline

✓ Net profit compounding at above 20% over 5 years creates significant shareholder value

✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

CONS

✕ Debt-to-equity ratio of 3.99 is elevated for a non-financial company and warrants monitoring

✕ Free cash flow negative for 3 consecutive years raises concern about cash generation quality

✕ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

✕ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

CAPITAL ALLOCATION: Distress Signal